

D556

Corporate Financial Analysis

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A firm with a 10% cost of capital compares two mutually exclusive projects. Project P: NPV \$420,000, IRR 18%. Project Q: NPV \$310,000, IRR 24%. Project Q was proposed by the firm's most senior engineer. Which should it choose?

- A. Project Q, given its sponsor's seniority.
- B. Both, since both have positive NPVs.
- C. Project P, because it has the higher NPV.
- D. Project Q, because it has the higher IRR.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A project costs \$100,000 today and returns \$60,000 at the end of each of the next two years. At a 10% discount rate, what is its NPV?

- A. \$20,000
- B. About \$4,132
- C. About \$104,132
- D. About -\$4,132

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A company is financed 60% equity and 40% debt at market values. Its cost of equity is 12%, its pretax cost of debt is 7%, and its tax rate is 25%. The company's bonds are rated A by two agencies. What is its WACC?

- A. 9.3%
- B. 10.0%
- C. 9.5%
- D. 7.95%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A firm's WACC is 9%. It is 50% debt and 50% equity, its cost of equity is 13%, and its tax rate is 20%. What is its pretax cost of debt?

- A.** 9.0%
- B.** 4.0%
- C.** 5.0%
- D.** 6.25%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A stock has a beta of 1.4. The risk-free rate is 4% and the expected market return is 10%. The company just announced a record dividend. What is its required return under CAPM?

- A.** 12.4%
- B.** 8.4%
- C.** 10.0%
- D.** 18.0%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

Under CAPM, a stock's required return is 13%. The risk-free rate is 3% and the market risk premium is 8%. What is its beta?

- A.** 1.25
- B.** 1.0, since every stock has the market's beta.
- C.** 1.625
- D.** 0.8

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

Two retailers each have ROE of 15%. Firm A: net margin 3%, asset turnover 2.5, equity multiplier 2.0. Firm B: net margin 7.5%, asset turnover 1.0, equity multiplier 2.0. Firm A's stores are larger. What explains how they earn their ROE?

- A.** A uses more financial leverage than B.
- B.** A relies on high asset turnover and B on high margin; leverage is the same.
- C.** A's larger stores explain the difference.
- D.** B is more profitable overall because its margin is higher.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

A firm's ROE is 18%, its net margin is 6%, and its equity multiplier is 2.0. What is its asset turnover?

- A.** 9.0
- B.** 1.5
- C.** 0.67
- D.** 3.0

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A distributor has cash of \$50,000, receivables of \$90,000, inventory of \$260,000, prepaid expenses of \$20,000, and current liabilities of \$200,000. Its warehouse lease runs another eight years. What is its quick ratio?

- A.** 2.10
- B.** 0.80
- C.** 0.70
- D.** 2.00

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A profitable manufacturer with stable cash flows and a 25% tax rate has almost no debt. The CFO is a former investment banker. Under the trade-off theory, what happens as it adds a moderate amount of debt?

- A.** Firm value rises without limit as debt increases.
- B.** Firm value falls, because debt costs more than equity.
- C.** Capital structure has no effect on value.
- D.** Firm value tends to rise at first from the interest tax shield, until expected distress costs outweigh it.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A company has already spent \$2 million on a market study for a new product line. Launching now requires \$5 million and would produce future cash flows with a present value of \$6.2 million. The study was done by a well-known consulting firm. Should it launch, and what is the NPV?

- A.** Do not launch until the \$2 million study cost is recovered.
- B.** Do not launch; NPV is –\$0.8 million.
- C.** Launch; NPV is \$1.2 million.
- D.** Launch; NPV is \$6.2 million.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

An investor holds 40 stocks across many industries. One holding, a biotech firm, loses 30% after a failed drug trial. The investor lives in Boston. Which risk does diversification reduce, and which remains?

- A.** It removes all risk with 40 stocks.
- B.** Beta measures the biotech's firm-specific risk.
- C.** It reduces market risk; firm-specific risk remains.
- D.** It reduces firm-specific risk such as a failed trial; market-wide risk remains.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

A firm with a 10% cost of capital compares two mutually exclusive projects. Project P: NPV \$420,000, IRR 18%. Project Q: NPV \$310,000, IRR 24%. ~~Project Q was proposed by the firm's most senior engineer.~~ Which should it choose?

Target word: choose between exclusive projects **Decides:** Highest NPV adds the most value.

A	Camouflage	Who proposed it does not change the numbers.
B	Dropped element	Drops the fact that the projects are mutually exclusive.
C	Correct	NPV measures the dollar value added; IRR can mislead when ranking.
D	Confusion set	IRR ranks by rate, not by value added.

2. Answer B Concept 1 • transfer

A project costs \$100,000 today and returns \$60,000 at the end of each of the next two years. At a 10% discount rate, what is its NPV?

Target word: compute NPV **Decides:** Discount each inflow and subtract the cost.

A	Dropped element	Ignores discounting.
B	Correct	$\$54,545 + \$49,587 - \$100,000 \approx \$4,132$.
C	Adjacent category	That is the present value of inflows, not NPV.
D	Inverted operation	Subtracts inflows from cost.

3. Answer A Concept 2

A company is financed 60% equity and 40% debt at market values. Its cost of equity is 12%, its pretax cost of debt is 7%, and its tax rate is 25%. ~~The company's bonds are rated A by two agencies.~~ What is its WACC?

Target word: WACC **Decides:** After-tax debt cost = $7\% \times 0.75 = 5.25\%$.

A	Correct	$0.6 \times 12\% + 0.4 \times 5.25\% = 7.2\% + 2.1\% = 9.3\%$.
B	Dropped element	Uses the pretax cost of debt.
C	Adjacent category	Takes a simple average of 12% and 7%.
D	Inverted operation	Swaps the equity and debt weights.

4. Answer D Concept 2 • transfer

A firm's WACC is 9%. It is 50% debt and 50% equity, its cost of equity is 13%, and its tax rate is 20%. What is its pretax cost of debt?

Target word: solve for pretax debt cost **Decides:** $0.5 \times r_d \times 0.8 = 9\% - 6.5\%$.

A	Wrong stem number	That is the WACC.
B	Inverted operation	Multiplies by $(1 - t)$ instead of dividing.
C	Dropped element	Stops at the after-tax cost.
D	Correct	$2.5\% / 0.5 = 5\%$ after tax; $5\% / 0.8 = 6.25\%$.

5. Answer A Concept 3

A stock has a beta of 1.4. The risk-free rate is 4% and the expected market return is 10%. ~~The company just announced a record dividend.~~ What is its required return under CAPM?

Target word: required return **Decides:** Market premium = 10% – 4% = 6%.

A	Correct	$4\% + 1.4 \times 6\% = 12.4\%$.
B	Dropped element	Leaves out the risk-free rate.
C	Wrong stem number	That is the market return, which applies only when beta is 1.
D	Adjacent category	Multiplies beta by the total market return, not the premium.

6. Answer A Concept 3 • transfer

Under CAPM, a stock's required return is 13%. The risk-free rate is 3% and the market risk premium is 8%. What is its beta?

Target word: solve for beta **Decides:** $(13\% - 3\%) / 8\%$.

A	Correct	$10\% / 8\% = 1.25$.
B	Absolute language	Betas vary by stock.
C	Dropped element	Divides 13% by 8% without removing the risk-free rate.
D	Inverted operation	Divides the premium by the excess return.

7. Answer B Concept 4

Two retailers each have ROE of 15%. Firm A: net margin 3%, asset turnover 2.5, equity multiplier 2.0. Firm B: net margin 7.5%, asset turnover 1.0, equity multiplier 2.0. ~~Firm A's stores are larger.~~ What explains how they earn their ROE?

Target word: drivers of ROE **Decides:** Same leverage; A relies on turnover, B on margin.

A	Confusion set	Both equity multipliers are 2.0.
B	Correct	$3\% \times 2.5 \times 2 = 15\%$; $7.5\% \times 1.0 \times 2 = 15\%$.
C	Camouflage	Store size is not a DuPont component.
D	Dropped element	Ignores turnover; ROE is identical.

8. Answer B Concept 4 • transfer

A firm's ROE is 18%, its net margin is 6%, and its equity multiplier is 2.0. What is its asset turnover?

Target word: solve for turnover **Decides:** $18\% / (6\% \times 2.0)$.

A	Adjacent category	Divides by the multiplier only, dropping margin.
B	Correct	$18 / 12 = 1.5$.
C	Inverted operation	Divides 12 by 18.
D	Dropped element	Divides by margin only, dropping the multiplier.

9. Answer C Concept 5

A distributor has cash of \$50,000, receivables of \$90,000, inventory of \$260,000, prepaid expenses of \$20,000, and current liabilities of \$200,000. ~~Its warehouse lease runs another eight years.~~ What is its quick ratio?

Target word: quick ratio **Decides:** Only cash and receivables count.

A	Confusion set	That is the current ratio.
B	Adjacent category	Counts prepaid expenses as quick assets.
C	Correct	$(\$50,000 + \$90,000) / \$200,000 = 0.70$.
D	Dropped element	Excludes prepaids but keeps inventory.

10. Answer D Concept 6

A profitable manufacturer with stable cash flows and a 25% tax rate has almost no debt. ~~The CFO is a former investment banker.~~ Under the trade-off theory, what happens as it adds a moderate amount of debt?

Target word: effect of leverage **Decides:** Tax shield benefit vs. distress costs.

A	Absolute language	Distress costs eventually offset the tax shield.
B	Inverted operation	Debt is usually cheaper than equity, especially after tax.
C	Adjacent category	That is the no-tax Modigliani-Miller case, not the trade-off theory.
D	Correct	That balance is the trade-off theory.

11. Answer C Concept 7

A company has already spent \$2 million on a market study for a new product line. Launching now requires \$5 million and would produce future cash flows with a present value of \$6.2 million. ~~The study was done by a well known consulting firm.~~ Should it launch, and what is the NPV?

Target word: decision and NPV **Decides:** The \$2 million is sunk.

A	Absolute language	Past spending cannot be recovered by any decision now.
B	Wrong stem number	Subtracts the sunk \$2 million.
C	Correct	$\$6.2 \text{ million} - \$5 \text{ million} = \$1.2 \text{ million}$; the study cost is sunk.
D	Dropped element	Leaves out the \$5 million investment.

12. Answer D Concept 8

An investor holds 40 stocks across many industries. One holding, a biotech firm, loses 30% after a failed drug trial. ~~The investor lives in Boston.~~ Which risk does diversification reduce, and which remains?

Target word: risk types **Decides:** A failed trial is firm-specific.

A	Absolute language	Systematic risk cannot be diversified away.
B	Confusion set	Beta measures systematic risk.
C	Inverted operation	Reverses the two.
D	Correct	Diversification cancels unsystematic risk, not systematic risk.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	10	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	7	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	4	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	NPV decision rule	Accept projects with positive NPV; among mutually exclusive projects, choose the highest NPV, not the highest IRR.	Ranking mutually exclusive projects by IRR.	Two projects, each with an NPV and an IRR, and only one can be chosen.
2	Weighted average cost of capital	$WACC = (E/V) \times \text{cost of equity} + (D/V) \times \text{pretax cost of debt} \times (1 - \text{tax rate})$.	Using the pretax cost of debt or a simple average of the two costs.	Capital weights, two costs, and a tax rate.
3	CAPM	Required return = risk-free rate + beta $\times$ (market return – risk-free rate).	Multiplying beta by the whole market return, or dropping the risk-free rate.	A beta, a risk-free rate, and a market return or premium.
4	DuPont analysis	ROE = net margin $\times$ asset turnover $\times$ equity multiplier; the same ROE can come from different drivers.	Assuming the higher-margin firm is more profitable overall.	Two firms with the same ROE and different components.
5	Quick ratio	Quick ratio = (cash + marketable securities + receivables) / current liabilities; it excludes inventory and prepaids.	Including inventory or prepaid expenses.	A list of current assets that includes inventory and prepaids.
6	Trade-off theory of capital structure	Adding debt raises value through the interest tax shield until expected financial distress costs outweigh it.	Believing more debt always adds value, or never matters.	A profitable, low-debt firm considering borrowing.
7	Sunk costs and incremental cash flows	Only future incremental cash flows matter; money already spent is sunk and ignored.	Charging past spending against the project.	A study or prototype already paid for.
8	Systematic vs. unsystematic risk	Diversification removes firm-specific risk; market-wide (systematic) risk, measured by beta, remains.	Thinking diversification removes all risk.	A diversified portfolio and a single-company shock.

Course scope (public description): Corporate Financial Analysis teaches the analysis of topics in financial management, including financial statement analysis and strategic corporate decision-making related to valuation, risk, capital structure, investment decisions, and performance. This course helps learners develop an understanding of the process financial managers and financial analysts face when making strategic decisions designed to improve an organization's efficiency. There are no prerequisites for this course.